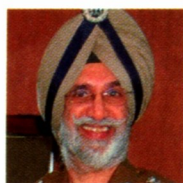


The problem is assuming serious proportions and we have a Special Operations Group to investigate any information on this.

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Pakistan's ISI is using fake currency as a weapon to wreck the Indian economy as well as to pay off its terror operators.



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**COUNTERFEIT NOTES ARE
SHAKING THE COMMON MAN'S
CONFIDENCE IN INDIAN CURRENCY**

the penetration of fake currency into the banking system.

So what can India do to counter the onslaught of counterfeit Indian currency? Even though RBI has introduced several new security measures (see box) to make counterfeiting more difficult since 2006, some fundamental flaws in the system make it easy for Pakistan to continue counterfeiting in their printing press in Muner. Increased sophistication of the fake currency notes highlights the lacunae in the security measures employed by RBI in printing these notes. India mostly imports the paper and ink for its currency and the security thread and the watermark are instituted at the time of the manufacture of the currency paper. There clearly is a need to manufacture these ma-

terials indigenously and compile and distribute all compromised features of fake notes and make it available to all agencies associated with the investigation. There has been some talk of India moving to polymer notes like Australia, but that suggestion is stuck in bureaucratic red-tape.

The basic raw material for making currency notes is cotton-based paper and special ink. While some quantity of paper used for currency is manufactured at the unit in CNP and the Hoshangabad Paper Mills, the rest is met through imports from four firms, Arjo Wiggins of France, Portal of the UK, Gane of Sweden and Paper Fabric Luisantel. The Banknote Press in Dewas makes the offset ink, while the ink for intaglio printing is procured from SICPA, a Swiss firm with one of its units in Sikkim. There is a strong view among the security agencies that procurement from foreign agencies could compromise security. This could also perhaps explain the increase in incidence of fake currency seizures from Sikkim.

An intelligence report indicated sometime back that Pakistan had managed to purchase ink from SICPA and similarly, there is evidence to prove that Portal is supplying paper to both India and Pakistan. Worse, the problems devilling this menace now seem to be exactly the same as those with fighting interstate terrorism or policing the coastline. There is no single agency responsible for monitoring the menace. At least four agencies—ED, DRI, CBI and CEIB—have been designated nodal agencies but they look at various aspects of the problem. For example, the DRI looks at smuggling of fake currency while the CEIB is responsible only for seizures made through the 4,400 RBI currency chests es-



THE average citizen is the worst-hit as even bank counters and ATMs are disbursing fake currency.

